# Global Container Shipping

## Linerlytica webinar takeaways: 2Q-3Q margin set to rise

Equities
Marine

Global

- Upcycle stronger than expected with demand structural (tech-led) and broad-based, not just frontloading; rates to hold…
- …into late summer, driving sequentially higher sector EBIT margins in 2Q-3Q; Maersk/HLAG guidance seem plausible
- Reiterate Buy on Maersk, EVG, CSH-H/A; key risk is Red Sea capacity release with bigger 2027-28 supply wave ahead

*On 25 June 2026, HSBC hosted Linerlytica to discuss the outlook for container shipping. We discuss key takeaways below. Reach out here to request the replay and slides.*

**1) Upcycle looks stronger (and longer):** Tight effective capacity and improving demand should keep the market firm at least through August, and potentially into September, rather than fading after a brief early peak spike.

**2) Rates are still climbing, not rolling over:** Freight indicators rose into late June, with carriers pushing July hikes. Spot rates are cUSD6,000/40ft to USWC and cUSD7,000–8,000/40ft to USEC. Charter rates stay high; charter-to-freight gap shrinks as freight rises.

**3) Demand strength looks structural, not just frontloading:** Traditional China exports were weak Jan-May (garments -1.6%, footwear -10.3%, toys -12.6%), inconsistent with expectations of a consumer surge. Instead, demand looks driven by AI/data centre buildout and clean tech (batteries, EVs, solar), plus data centre power infrastructure.

**4) Volumes broad-based; EM absorbing capacity:** Trans-Pacific volumes are up c4-5% y-o-y, May strong, and June firmer. European demand is above last year's peak. Africa demand +50% YTD and LatAm +12% absorbing capacity; North America lags.

**5) Tariffs may add noise but don't change the near-term setup:** IEEPA removal and Section 122 likely boosted exports and Transpacific rebound. With 122 expiring, proposed 301 tariffs look similar, so July/August volumes should hold.

**6) Capacity remains tight; Red Sea return is the key downside:** Linerlytica sees 2026 demand up 6-7% vs supply c5%. Gulf normalisation could absorb >2% fleet but Red Sea return could unwind c6%, risking rates correction. Congestion supports tightness.

**7) Earnings leverage is improving despite higher fuel:** Fuel is c30% above pre-conflict, but opex should rise only c2-3%. With CCFI up c40-42%, profits should inflect: sector EBIT margin could rise from c5% in 1Q to c10% in 2Q, with 3Q upside if rates hold. Maersk and Hapag Lloyd could potentially raise FY26 guidance, we argue.

**8) Alliances shift share but not competition or pricing power.** Linerlytica says Gemini Cooperation underperforms due to contract exposure, spot discounting, and hub-and-spoke costs; schedule reliability premiums may be limited.

**9) Medium-term reality check – the 2027-28 supply wave:** Newbuild deliveries ramp-up in 2H27 and peak in 2028, with supply growth c14%, likely above demand. Ordering stays heavy (c5m TEU this year; c2m TEU YTD). Limited vessel demolition capacity (at most c1m TEU/year) leaves net 2028 growth c11-12%+. Consolidation may shift share, but utilisation-driven rate volatility remains amid high fixed costs.

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## 1. Our key stock ideas in container shipping sector, ratings, and valuation summary

| Stock | Ticker | Ccy | HSBC rating | Share price | Target price | Upside/ Downside | Mkt cap (USDm) | 2026e P/B (x) | 2026e P/E (x) | 2026e ROE | 2026e Yield* | Share price changes** 6M | Share price changes** YTD |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| AP Moller Maersk | MAERSKB DC | DKK | Buy | 16,060.00 | 19,000.00 | +18.3% | 35,192 | 0.6 | 31.4 | 2.1% | 1.0% | 13% | 13% |
| COSCO Shipping-H | 1919 HK | HKD | Buy | 13.28 | 17.20 | +29.5% | 30,479 | 0.7 | 8.6 | 8.9% | 5.8% | -1% | 0% |
| COSCO Shipping-A | 601919 CH | CNY | Buy | 14.00 | 18.50 | +32.1% | 30,479 | 0.9 | 10.4 | 8.9% | 4.8% | -9% | -8% |
| OOIL | 316 HK | HKD | Hold | 121.10 | 130.00 | +7.3% | 10,200 | 0.7 | 9.8 | 7.7% | 5.1% | 0% | -1% |
| Evergreen Marine | 2603 TT | TWD | Buy | 186.50 | 255.00 | +36.7% | 12,716 | 0.7 | 11.4 | 6.4% | 4.5% | 7% | 6% |
| Hapag Lloyd | HLAG GY | EUR | Reduce | 115.90 | 90.00 | -22.3% | 23,138 | 1.2 | n/m | -2.6% | 0.0% | 4% | 1% |
| SITC | 1308 HK | HKD | Hold | 31.70 | 31.00 | -2.2% | 10,963 | 4.0 | 13.2 | 32.4% | 7.7% | 23% | 24% |

Source: Bloomberg, LSEG Datastream, HSBC estimates. Notes: Share prices at close on 24 June 2026. *Dividend yield including share buybacks. **Price changes consider dividends paid (if any).

## Valuation and risks

| | | Valuation | Risks |
|---|---|---|---|
| **AP Moller Maersk MAERSKB DC**<br><br>**Buy** | Current price:<br>**DKK16,060.00**<br>Target price:<br>**DKK19,000.00**<br>Up/downside:<br>**+18.3%** | **Methodology:** Price-to-book multiple (P/B).<br>**Assumptions:** A 0.72x 2026e P/B (0.25 SD below the average since mid-2011) to 2026e BVPS of USD3,833. After adding back 2026 share buyback yet to be completed, plus a 5% ESG premium for Maersk based on the stronger positioning in its ESG efforts, we have a target price of DKK19,000.00 (all unchanged).<br>Our target price implies c18% upside and we maintain our Buy rating as although cost pressures have increased, we think a delayed Red Sea resumption remains a positive. Ocean profits may gradually normalise as vessel deliveries catch up and disruptions normalise, but we believe stable Terminals and recovering Logistics margins and the ongoing buyback provide downside protection.<br>**Parash Jain*** \| parashjain@hsbc.com.hk \| +852 2996 6717 | **Downside risks**<br>◆ Increase in competition<br>◆ Slower-than-expected trade growth<br>◆ Wider-than-expected spreads between VLSFO and HSFO<br>◆ Scrutiny from regulators curbing market-based pricing<br>◆ Stricter environmental regulations<br>◆ Quicker-than-expected resolution to the Red Sea issue<br>◆ Higher-than-expected costs from the Red Sea disruption<br>◆ Execution risks from any potential big-ticket M&A<br>◆ Potentially higher-than-expected cost from the USTR proposal to levy port fees |
| **SITC 1308 HK**<br><br>**Hold** | Current price:<br>**HKD31.70**<br>Target price:<br>**HKD31.00**<br>Up/downside:<br>**-2.2%** | **Methodology:** Price-to-book multiple (PB)<br>**Assumptions:** 3.63x 2026 P/B, 1.3 SD above average since mid-2011, applied to our 2026e average BVPS of USD1.00. We add back a final dividend for 2025 and interim dividend payable in 2026. All assumptions are unchanged. We have a target price of HKD31.00 which implies c2% downside. We maintain our Hold rating as we think the current valuation is fair for SITC, despite its better pricing power and low-cost base.<br>**Parash Jain*** \| parashjain@hsbc.com.hk \| +852 2996 6717 | **Upside risks:**<br>◆ Higher-than-expected economic development in mainland China<br>◆ A speed-up in intra-Asia trade growth<br>◆ A sharp drop in fuel prices; and easing protectionism<br>◆ Narrower-than-expected impacts on intra-Asia trades from the US's universal reciprocal tariffs<br>**Downside risks:**<br>◆ Slower-than-expected economic development in mainland China<br>◆ A slowdown in intra-Asia trade growth<br>◆ A sharp rise in fuel prices and an increase in trade protectionism<br>◆ Wider-than-expected impacts on intra-Asia trades from the US's universal reciprocal tariffs |
| **Evergreen Marine 2603 TT**<br><br>**Buy** | Current price:<br>**TWD186.50**<br>Target price:<br>**TWD255.00**<br>Up/downside:<br>**+36.7%** | **Methodology:** Price-to-book multiple (P/B)<br>**Assumptions:** 0.9x 2026e P/B (average since mid-2011), applied to our 2026 BVPS of TWD261. We do not apply an ESG premium given its relative ESG positioning vs peers (all unchanged). After adding back the FY25 dividend, we have a target price of TWD255.00, which implies c37% upside. We rate the stock Buy as we think Evergreen's share price should continue to strengthen as disruption-led spot freight rate momentum continues.<br>**Parash Jain*** \| parashjain@hsbc.com.hk \| +852 2996 6717 | **Downside risks:**<br>◆ Shorter-than-expected congestion and supply chain inefficiencies<br>◆ Milder-than-expected rally in freight rates<br>◆ Weaker-than-expected consumption demand from world ex-US<br>◆ Weaker-than-expected US retail consumption demand |

Source: Bloomberg, HSBC estimates.
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## Valuation and risks (cont'd)

| | | Valuation | Risks |
|---|---|---|---|
| **COSCO Shipping Holding 1919 HK 601919 CH**<br><br>**H: Buy**<br>**A: Buy** | Current price:<br>**HKD13.28**<br>**RMB14.00**<br>Target price:<br>**HKD17.20**<br>**RMB18.50**<br>Up/downside:<br>**H: +29.5%**<br>**A: +32.1%** | **Methodology:** Price-to-book multiple (P/B).<br>**Assumptions:** We use 2026 PB multiple of 0.93x, which is 0.5 S.D. below the historical average of 1.15x; and exchange rate of 1.17 based on the HSBC FX team's latest end-2026 RMB-HKD forecast. We add back interim dividend for 2026. We arrive at an H-share target price of HKD17.20 (all unchanged). Our target price implies c30% upside and we have a Buy rating on the stock. We think the near-term earnings trajectory and improved industry structure warrant a higher valuation, supported by a clearer shareholder return framework (50% payout over 2026-28e).<br>To derive our A-share target price, we apply a year-to-date average A-H premium of 32% to our H-share target PB multiple to arrive at a target PB of 1.11x. Based on this approach, we arrive at a target price for the A-shares of RMB18.50 (all unchanged), which implies c32% upside. We have a Buy rating on the stock.<br>**Parash Jain*** \| parashjain@hsbc.com.hk \| +852 2996 6717 | **Downside risks for the A-shares and H-shares**:<br>◆ Easing of disruptions and congestion in Europe and the Middle East;<br>◆ trade recession as a result of higher energy prices hitting downstream demand;<br>◆ faster-than-expected demand and freight rate normalisation in 2026-27e;<br>◆ loss of capacity discipline as liners are racing to expand capacity and engage in price competition;<br>◆ and lower-than-expected scrapping. |
| **Hapag Lloyd HLAG GY**<br><br>**Reduce** | Current price:<br>**EUR115.90**<br>Target price:<br>**EUR90.00**<br>Up/downside:<br>**-22.3%** | **Methodology:** Price-to-book multiple (P/B)<br>**Assumptions:** 0.9x P/B (0.7 SD below average since mid-2011), applied to our 2026e average BVPS of EUR96.40, after reflecting a 5% ESG premium given its relatively strong ESG positioning among our covered peers and adding back the FY25 dividend (all unchanged). We have a target price of EUR90.00 which implies c22% downside; therefore we maintain our Reduce rating. We think elevated fuel prices are likely to pressure margins and the share price.<br>**Parash Jain*** \| parashjain@hsbc.com.hk \| +852 2996 6717 | **Upside risks:**<br>◆ Longer-than-expected congestion and supply chain inefficiencies<br>◆ Stronger-than-expected rally in freight rates<br>◆ Stronger-than-expected consumption demand from world ex-US<br>◆ Stronger-than-expected US retail consumption demand |
| **OOIL 316 HK**<br><br>**Hold** | Current price:<br>**HKD121.10**<br>Target price:<br>**HKD130.00**<br>Up/downside:<br>**+7.3%** | **Methodology:** Price-to-book multiple (P/B)<br>**Assumptions:** We apply a target PB multiple of 0.70x, average since mid-2011, to our 2026e average BVPS of USD21.03. We do not apply an ESG premium given its relatively fair positioning on ESG efforts across its peer group. All inputs are unchanged.<br>After adding back the dividends payable in 2025 and interim dividend in 2026, we have a target price of HKD130.00, based on a USD-HKD exchange rate of c7.8. Our target price implies c7% upside. We rate the stock Hold. We think current disruption and congestion may keep near-term freight rates elevated.<br>**Parash Jain*** \| parashjain@hsbc.com.hk \| +852 2996 6717 | **Upside risks:**<br>◆ Stronger-than-expected container demand in 2026 driven by potential frontloading<br>◆ More effective capacity discipline than expected<br>◆ Slower-than-expected delivery of new containerships; higher-than-expected scrapping<br>◆ Prolonged disruptions in Red Sea region<br>◆ Higher-than-expected dividend payout from OOIL (we model for 50% in 2026e).<br>**Downside risks:**<br>◆ Weaker-than-expected container demand in 2026 driven by higher inflation<br>◆ Less effective capacity discipline than expected<br>◆ Faster-than-expected delivery of new containerships<br>◆ Lower-than-expected scrapping<br>◆ Shorter-than-expected disruptions in Red Sea region<br>◆ Lower-than-expected dividend payout from OOIL (we model for 50% in 2026e). |

Source: Bloomberg, HSBC estimates.
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## 2. Global container shipping – valuation comparison summary

| Company | Bloomberg ticker | Ccy | HSBC rating | Share price | Target price | Mkt cap (USDm) | Turnover (USDm) | Free float (%) | P/B (x) | | EV/EBITDA (x | | ROE (%) | | P/E (x) | | Div yield (%) | | Net debt/ equity | Share price performance | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | | 2026e | 2027e | 2026e | 2027e | 2026e | 2027e | 2026e | 2027e | 2026e | 2027e | | 1M | 6M | 1Y | YTD |
| AP Moller Maersk | MAERSKB DC | DKK | Buy | 16,060 | 19,000 | 35,192 | 44.9 | 51% | 0.6 | 0.6 | 4.0 | 4.8 | 2.1% | 0.2% | 31.4 | 337.7 | 1.0% | 0.1% | 0.0x | 5% | 13% | 41% | 13% |
| COSCO Shipping-H | 1919 HK | HKD | Buy | 13.28 | 17.20 | 30,479 | 42.5 | 94% | 0.7 | 0.7 | 2.3 | 2.7 | 8.9% | 6.3% | 8.6 | 11.8 | 5.8% | 4.2% | -0.3x | -9% | -1% | 4% | 0% |
| COSCO Shipping-A | 601919 CH | CNY | Buy | 14.00 | 18.50 | 30,479 | 198.5 | 36% | 0.9 | 0.9 | 2.3 | 2.7 | 8.9% | 6.3% | 10.4 | 14.3 | 4.8% | 3.5% | -0.3x | -4% | -9% | -4% | -8% |
| OOIL | 316 HK | HKD | Hold | 121.10 | 130.00 | 10,200 | 20.7 | 15% | 0.7 | 0.7 | 2.5 | 2.6 | 7.7% | 6.7% | 9.8 | 10.8 | 5.1% | 4.6% | -0.4x | -14% | 0% | -4% | -1% |
| Evergreen Marine | 2603 TT | TWD | Buy | 186.50 | 255.00 | 12,716 | 118.7 | 75% | 0.7 | 0.7 | 4.9 | 5.1 | 6.4% | 5.8% | 11.4 | 12.4 | 4.5% | 4.1% | 0.0x | -8% | 7% | -3% | 6% |
| Hapag Lloyd | HLAG GY | EUR | Reduce | 115.90 | 90.00 | 23,138 | 3.2 | 14% | 1.2 | 1.3 | 12.1 | 14.3 | -2.6% | -5.6% | n/m | n/m | 0.0% | 0.0% | 0.2x | 3% | 4% | -7% | 1% |
| SITC | 1308 HK | HKD | Hold | 31.70 | 31.00 | 10,963 | 19.6 | 47% | 4.0 | 4.1 | 10.4 | 11.3 | 32.4% | 28.0% | 13.2 | 14.8 | 7.7% | 6.9% | -0.2x | -8% | 23% | 40% | 24% |

Source: LSEG Datastream, HSBC estimates
Notes: Latest prices at of close on 24 June 2026. Turnover is based on the average over the past three months. Net debt/equity is as of end-2025. Share price performances include dividends if any.

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| | | |
|---|---|---|
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| Company | Ticker | Recent price | Price date | Disclosure |
|---|---|---|---|---|
| AP MOLLER MAERSK | MAERSKb.CO | 16520.00 | 25 Jun 2026 | 7 |
| COSCO SHIPPING HOLDINGS | 1919.HK | 13.20 | 25 Jun 2026 | 4, 11 |
| COSCO SHIPPING HOLDINGS A | 601919.SS | 13.82 | 25 Jun 2026 | 4, 11 |
| EVERGREEN MARINE | 2603.TW | 185.00 | 25 Jun 2026 | 7 |
| HAPAG-LLOYD AG | HLAG.DE | 115.90 | 24 Jun 2026 | 5, 6, 7 |
| ORIENT OVERSEAS INT'L | 0316.HK | 120.20 | 25 Jun 2026 | 4, 7 |
| SITC INTERNATIONAL | 1308.HK | 31.36 | 25 Jun 2026 | 6, 7 |

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